IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

C.P (CAA) No. 4/BB/2017
C.P (CAA) No. 5/BB/2017
C.P (CAA) No. 6/BB/2017
U/S 230 to 232 of the Companies Act, 2013
Order Delivered on: 11th December, 2018

IN THE MATTER OF THE SCHEME OF ARRANGEMENT

BETWEEN

STUMPP SCHUELE & SOMAPPA PRIVATE LIMITED

AND

MACHANI RAMESH HERITAGE PRIVATE LIMITED

AND

MACHANI RAMESH METAMORPHOSIS PRIVATE LIMITED

Coram: 1. Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)

2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

C.P (CAA) No. 6/BB/2017

Stumpp Schuele & Somappa Private Limited
139/2, Hosur Road,
Koramangala
Bangalore-560 095

Petitioner No. 1/Demerged Company

C.P (CAA) No. 4/BB/2017

Machani Ramesh Heritage Private Limited
139/2, Hosur Road,
Koramangala
Bangalore-560 095

Petitioner No. 2/Resulting Company No. 1

C.P (CAA) No. 5/BB/2017

Machani Ramesh Metamorphosis Private Limited
139/2, Hosur Road,
Koramangala
Bangalore-560 095

Petitioner No. 3/Resulting Company No. 2

Parties Present: Shri Perikal Arjun, Learned Counsel for the Petitioners
Ms. Prema Hatti, Learned Central Government Counsel for ROC & RD

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)**

COMMON O R D E R

1. The Company Petitions bearing number C.P (CAA) No. 4/BB/2017, C.P (CAA) No. 5/BB/2017 and C.P (CAA) No. 6/BB/2017were filed jointly by Petitioner No. 2/Resulting Company No.1, Petitioner No. 3/ Resulting Company No. 2 and Petitioner No. 1/Demerged Company respectively under Sections 230 to 232 of the Companies Act, 2013 praying for inter alia the following reliefs:

   (i) That the Scheme of Arrangement be sanctioned by the Hon'ble Tribunal so as to be binding on the Petitioner Companies, its respective shareholders and creditors.

   (ii) And pass such orders as this Hon'ble Tribunal may deem fit in the interests of justice and equity.

2. The averments made in the Company Petitions are briefly described hereunder:-

   1) The Petitioner Companies seek an order for sanctioning the Scheme so as to be binding in terms thereof on the Petitioners Companies and their respective shareholders and creditors, by virtue of which (a)'Basavanagudi Project' of the Petitioner No. 1/Demerged Company ("Demerged Undertaking No. 1") is proposed to be transferred and vested into the Petitioner No.2/Resulting Company No. 1 and (b)'Koramangala Project' of the Petitioner No. 1/Demerged Company ("Demerged Undertaking No. 2") is proposed to be transferred and vested into the Petitioner No. 3/Resulting Company No. 2. The Scheme of Arrangement is shown as **Annexure –A** in C.P (CAA) No. 4/BB/2017, C.P (CAA) No. 5/BB/2017 and C.P (CAA) No. 6/BB/2017.

   2) The Petitioner No. 1/Demerged Company was incorporated on February 19, 1960 in the name and style of, "Stumpp, Schuele & Somappa Private Limited" under the provisions of the Companies Act, 1956 with the Registrar of Companies, Karnataka at Bengaluru vide registration no. 1378 of 1960. Currently, the Petitioner No. 1/Demerged Company bears CIN No.

U31901KA1960PTC001378. The registered office of the Petitioner No. 1/Demerged Companyis situated at 139/2, Hosur Road, Koramangala, Bangalore-560 095.

3) The main objects of the Petitioner No. 1/Demerged Company as set out in its Memorandum of Association is inter alia to carry on the business of manufacturers of springs of all varieties including coil springs, value springs, leaf springs etc., assemblers, importers, exporters, stockiest, repairers, distributors, merchants and dealers of all kinds of spring equipments and accessories of all kinds and all articles and things used in manufacture, construction, erection, maintenance and working thereof or in connection therewith in any way whatsoever. The copies of the MoA and AoA of the Petitioner No. 1/Demerged Company is shown as Annexure B in CP (CAA) 6/BB/2017.

4) The latest authorised share capital of the Petitioner No. 1/Demerged Company is Rs. 10,00,00,000/- divided into 10,00,000 equity shares of Rs. 100/- each. The issued, subscribed and paid-up share capital is Rs. 2,66,69,300/- divided into 2,66,693 Equity Shares of Rs. 100/- each. The Copy of Audited Financials of the Petitioner No. 1/Demerged Company as on 31st March, 2016 and 31st March, 2017 is shown as Annexure C in CP (CAA) 6/BB/2017 and in memo dated 19th January, 2018 respectively.

5) The Petitioner No. 2/Resulting Company No.1 was incorporated 20th June, 2016 as per the provisions of the Companies Act, 2013 in the name and style of "Machani Ramesh Heritage Private Limited" with the Registrar of Companies, Karnataka at Bengaluru vide CIN No. U70101KA2016PTC094278. The Registered office of the Petitioner No. 2/Resulting Company No.1 is situated at 139/2, Hosur Road, Koramangala, Bangalore-560 095.

6) The main objects of the Petitioner No. 2/Resulting Company No.1 as set out in its Memorandum of Association is inter alia to carry all or any of the business of promoters, developers, builders of all types of building and structures,

residential, industrial, commercial and including infrastructure projects, formation of residential and commercial layouts by acquisition of land, sites, buildings, and purchase, hold, sale or lease or otherwise transfer or disposal of land or buildings or building projects in any manner including projects for low cost and affordable housing. The copies of the MoA and AoA of the Petitioner No. 2/Resulting Company No.1 is shown as Annexure B in CP (CAA) 4/BB/2017.

7) The latest authorised, issued, subscribed and paid-up share capital share capital of the Petitioner No. 2/Resulting Company No.1 is Rs. 1,00,000/- divided into 10,000equity shares of Rs. 10/- each. The Copy of Audited Financials of the Petitioner No. 2/Resulting Company No.1 as on and 31st March, 2017 is shown in memo dated 19th January, 2018.

8) The Petitioner No. 3/Resulting Company No. 2 was incorporated 20th June, 2016 as per the provisions of the Companies Act, 2013 in the name and style of "Machani Ramesh Metamorphosis Private Limited" with the Registrar of Companies, Karnataka at Bengaluru vide CIN No. U70109KA2016PTC094279. The Registered office of the Petitioner No. 3/Resulting Company No. 2 is situated at 139/2, Hosur Road, Koramangala, Bangalore-560 095.

9) The main objects of the Petitioner No. 3/Resulting Company No. 2 as set out in its Memorandum of Association is inter alia to carry all or any of the business of promoters, developers, builders of all types of building and structures, residential, industrial, commercial and including infrastructure projects, formation of residential and commercial layouts by acquisition of land, sites, buildings, and purchase, hold, sale or lease or otherwise transfer or disposal of land or buildings or building projects in any manner including projects for low cost and affordable housing. The copies of the MoA and AoA of the Petitioner No. 3/Resulting Company No. 2 is shown as Annexure B in CP (CAA) 5/BB/2017.

10) The latest authorised, issued, subscribed and paid-up share capital of the Petitioner No. 3/Resulting Company No. 2 is Rs. 1,00,000/- divided into 10,000equity shares of Rs. 10/- each. The Copy of Audited Financials of the Petitioner No. 3/Resulting Company No.2 as on and 31st March, 2017 is shown in memo dated 19th January, 2018.

11) The Board of Directors of the Petitioner No. 1/Demerged Company, Petitioner No. 2/Resulting Company No. 1 and Petitioner No. 3/ Resulting Company No. 2 have approved and adopted the Scheme of Amalgamation at their respective board meetings held on 18th August, 2016 respectively. The copies of Board Resolution of the Petitioner No. 1/Demerged Company, Petitioner No. 2/Resulting Company No. 1 and Petitioner No. 3/ Resulting Company No. 2 are shown in Annexure-D, Annexure-C and Annexure-C of C.P (CAA) No. 6/BB/2017, C.P (CAA) No. 4/BB/2017 and C.P (CAA) No. 5/BB/2017respectively.

12) The Chartered Accountants, Suresh & Co., have issued Independent Auditor's Certificate dated 16th January, 2018 opining that the management has agreed to comply with applicable accounting standards specified under Section 133 of the Companies Act, 2013. The copy of certificate dated 16th January, 2018 is shown in memos dated 19th January, 2018 in CP (CAA) 4/BB/2017, CP (CAA) 5/BB/2017 and CP (CAA) 6/BB/2017.

13) The Chartered Accountants, Suresh & Co., have issued Share Entitlement Certificate dated 18th August, 2016 on the ratio of allotment of equity shares of Petitioner No. 2/Resulting Company No. 1 and Petitioner No. 3/ Resulting Company No. 2 to be issued to the shareholders of Petitioner No. 1/Demerged Company. The copy of certificate dated 18th August, 2016 is shown in memos dated 19th January, 2018 in CP (CAA) 4/BB/2017, CP (CAA) 5/BB/2017 and CP (CAA) 6/BB/2017.

14) The Petitioner No. 1/Demerged Company, Petitioner No. 3/ Resulting Company No. 2 and Petitioner No. 2/Resulting Company No. 1 had filed the Company

Applications C.A. (CAA) No. 57/BB/2017, C.A. (CAA) No. 58/BB/2017 and C.A. (CAA) No. 74/BB/2017 respectively, before this Tribunal for dispensation with convening of the meetings of the Shareholders, Secured and Unsecured Creditors of the Petitioner Companies. The Tribunal vide its Orders dated 29th November, 2017 allowed the Company Applications and dispensed with the convening of the meetings of Shareholders, Secured and Unsecured Creditors of the Petitioner Companies. The copies of the orders of the Tribunal is shown in Annexure-J, Annexure-F and Annexure-F of C.P (CAA) No. 6/BB/2017, C.P (CAA) No. 4/BB/2017 and C.P (CAA) No. 5/BB/2017 respectively.

3. This Tribunal vide order dated 1st February, 2018 directed the Petitioner Companies to issue Notice to the RoC, RD, concerned Income Tax Authorities, , and also to have an advertisement of Notice of Petition be carried out in the 'The Hindu', an English daily Newspaper and 'Kannada Prabha' a Kannada daily Newspaper.
4. In pursuance of the same, the Counsel for the Petitioner Companies has filed memos dated **2nd March, 2018** of the authorized signatories of the Petitioner Companies for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in 'The Hindu', an English daily Newspaper and 'Kannada Prabha' a Kannada daily Newspaper and submitted proof of service of notice on the concerned authorities.
5. The Registrar of Companies, Karnataka vide Letter bearing No. ROCB/LEGAL/CP No. CAA No. 04/05/06/BB/18 dated 22nd May, 2018 has submitted a report making the following observations at *para 30*:

    1. Employee Clause is not mentioned in the Scheme.
    2. Accounting Treatment at Clause No. 13 & 23 of the Scheme is not provided any method of accounting. However, submitted a copy of auditor certificate stating that the proposed scheme is in conformity with the accounting standards specified in section 133 of the act of 2013.
    3. Transferee Company No. 1 & 2 do not have sufficient amount of authorized capital with them to allot shares to shareholders of the Demerged Company as stated at

Clause No. 12 and 22 of the Scheme. Hence, both the transferee companies required to increase their respective authorized share capital.

4. Demerged Company has not yet filed balance sheet and annual return for the year 2016-17.
5. The Demerged Company i.e M/s Stumpp Schuele & Somappa Private Limited pursuant to order of Hon'ble High Court of Karnataka in CP No. 253/2015 dated 8/01/2016 has reduced its paid up share capital of the company from its erstwhile Rs. 2,98,50,000/- to the present Rs. 2,66,69,300/- after extinguishing 31,807 equity shares by paying off an aggregate sum of Rs. 9,54,21,000/-.

   In this regard, Mr. Nagappa and 2 others have filed an application before the Hon'ble NCLT, Bengaluru U/s 241(1)(a) read with Section 244 on this office. Wherein the office of the ROC has not been made a Respondent challenging the selective reduction of share capital by Board of Directors of the Demerged/Respondent Company where 23,136 shares (out of the total 31,807 cancelled shares) belonging to the petitioners were cancelled. At present the said petition is before the Hon'ble NCLT, Bengaluru.
6. There are no complaints, technical scrutiny/inspection, prosecutions pending in this office against the petitioner companies.

6. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 19th July, 2018 making some observations at para 4:
   i. The RoC observation at Para Non 30(1) may not need further consideration since the petitioner company has clarified that the Demerged Company has no employees on its roll and hence no clause was incorporated in the Scheme for protection of employees of Demerged Company.
   ii. ROC observation at Para No 30(2) regarding Method of Accounting, the Petitioner Company has clarified that as AS-14 is not applicable to a Scheme of Demerger, no method of accounting was mentioned in the scheme. The petitioner company has undertaken to comply with the generally accepted accounting principles in carrying

out the scheme of amalgamation. Hence, no further consideration of this para is required.

iii. Both the Transferee Company No. 1 and Transferee Company No. 2 have to increase their Authorized Share Capital for issue of new Equity Shares, since their Authorized Share Capital is only Rs. 1,00,000/-

iv. The Demerged Company has filed its Annual Return and Balance Sheet for the financial year 2016-17 on 13.6.2018 and hence no further consideration of this para is required.

v. ROC in his report has stated that "The Demerged Company i.e. M/s Stumpp Schuele & Somappa Private Limited pursuant to order of Hon'ble High Court of Karnataka in CP No. 253/2015 dated 8/01/2016 has reduced its paid up share capital of the company from its erstwhile Rs. 2,98,50,000/- to the present Rs. 2,66,69,300/- after extinguishing 31,807 equity shares by paying off an aggregate sum of Rs. 9,54,21,000/-. In this regard, Mr. Nagappa and 2 others have filed an application before the Hon'ble NCLT, Bengaluru U/s 241(1)(a) read with Section 244 of the Companies Act, 2013 (a copy of the same along with the said High Court order served on this office). Wherein this office is not made as respondent) challenging the selective reduction of share capital by the Board of Directors of the Demerging/Respondent Company where 23,136 shares (out of the total 31,807 cancelled shares) belonging to petitioners were cancelled. At present the said petition/application is before the Hon'ble NCLT, Bengaluru.

In this regard, it is clarified by the Petitioner Company in its letter dated 28.6.2018 that the Hon'ble High Court of Karnataka in CP No. 253/2015 had allowed the scheme of reduction of capital vide order dated 8.1.2016 after taking note of the objections made by minority shareholders Mr. Nagappa and two others of the said reduction was given effect to after filing the order of the Hon'ble High Court of Karnataka with Registrar of Companies, Karnataka. That subsequent to the reduction of capital, a petition u/sec 241(1)(a) of Companies Act, 2013 r/w Sec. 244 of Companies Act, 2013 was filed with NCLT and is pending. However, since the matter is subjudice before the Hon'ble NCLT, Bengaluru Bench where the petition regarding demerger is also subsisting, Hon'ble NCLT may adjudicate the matter, and that the

present scheme be allowed only after deciding the said petition u/sec. 241 of Companies Act, 2013.

7. The Authorized Signatories of the Petitioner Companies have filed Affidavits dated 2nd August, 2018 in furnishing response to the affidavit of the Registrar of Companies on behalf of the Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad, which are as follows:

   i. *For Observation No. (3) of the RoC report*: The Transferee Company No. 2 undertakes to increase its authorized share capital upon the Scheme becoming effective to facilitate the shares to be allotted pursuant to the Scheme.

   ii. *For Observation No. (5) of the RoCreport*: Demerged Company has pursuant to an order of the Hon'ble High Court of Karnataka in CP No. 253/2015 dated 8th January, 2016 had reduced its paid-up share capital from Rs. 2,98,50,000 to Rs. 2,66,69,300 after extinguishing 31,807 equity shares by paying off an aggregate sum of Rs. 9,54,21,000/. A meeting of shareholders to approve the reduction was duly convened and majority of shareholders whose shares were reduced participated in such meeting and unanimously approved the reduction of capital and the petition filed for confirmation of resolutions passed for reduction of capital was duly approved by the Hon'ble High Court and certificate of registration of minute of reduction of capital has been issued by the Registrar of Companies. Pursuant to the reduction of capital having become effective, Mr. Nagappa and two others objected to the reduction before the Hon'ble High Court and by an appeal against the order in CP Bo. 253/2015 dated January 8, 2016. The appeal is numbered as Original Side Appeal No. 5 of 2016 wherein no stay has been granted and is pending for admission since 29.11.2016. Mr. Nagappa and 2 others have not got a favourable order in the interim stage and has after much delay and as an afterthought to harass the petitioner to pay unreasonable amounts filed a petition CP No 81/2017 before the Hon'ble NCLT, Bengaluru Bench challenging the reduction of share capital by the board of directors of the Demerged Company when the said resolution and meeting of shareholders have been confirmed by the Hon'ble High Court of Karnataka. Mr. Nagappa and 2 others who have filed the petition under Sections 241(1)(a) and 244 of the Companies Act, 2013 is pending

before the NCLT, Bengaluru Bench itself and have also been seeking adjournments on several occasions without addressing their arguments. No interim order has been ordered in this matter as well. A copy of the order of the NCLT dated 31.03.2018, 10.04.2018 and 4.05.2018 is produced as Annexure A.

iii. It is submitted that Mr. Nagappa and 2 others have ceased to be shareholders of the Demerged Company and pursuant to the order of the Hon'ble High Court of Karnataka in CP No. 253/2015 dated January 08,. 2016, cannot maintain a petition under Sections 241(1)(a) and 244 of Companies Act, 2013. The proceedings under this petition are independent of the petition filed by the Mr. Nagappa and should not be linked with this petition. The observations of the Regional Director to not allow this petition until the decision of the petition filed under Sections 241(1)(a) and 244 would prejudice the companies, members and creditors and would also hamper the economical benefits of enuring to the companies pursuant to the Scheme. Hence the observations of the Regional Director in para (e) of the affidavit of the Registrar of Companies, to keep the Scheme pending till disposal of petitions filed by Nagappa & another is to be set out aside and the Scheme to be sanctioned. A copy of the order of the Hon'ble High Court of Karnataka in CP No. 253/2015 dated January 8, 2016 is produced as Annexure-A.

8. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed additional Affidavit dated 7th November, 2018 making some observations at para 4:

   a. As Petitioner the petition U/s. 100 to 103 for confirming the reduction of capital at Para no. 8(a) of the petition, there are four groups namely Ramanna Group holding 89.3%, Somappa Group holding 8.46%, Lakshmanna Group holding 0.67% and Pakeerappa group holding 1.35% in total 100% and para 8(b) states that the day to day management of the company vests with Mr. M R Ramesh, Executive Chairman, M.R. Satish, MD, Mr. M R Ravi, Joint Manging Director and Mrs. Deepa Kumar, Executive Director, all belonging to Ramanna family. Further, Mr. M Gangappa and Mr. M R Gangadhar also belonging to the Ramanna family are non whole time directors on the Board besides three

independent directors. It is seen that the remaining groups by virtue of their minimal stake are not part of the management of the company or represented on the Board of directors.

b. Further it is mentioned at para 8(c) of the petition that "the members of other groups of shareholders viz. Lakshmanna Group, Pakeerappa group and Somappa Group are not in any way involved in the management and therefore the Board felt that the groups could be given exit from the petitioner company at a fair value.

c. Para No. 8(d) mentions that the present capital of the company is also in excess of its wants and therefore the petitioner company is of the opinion to reduce its paid up capital by cancelling the equity shares held by the other groups by paying Rs. 3,000/- fair value per equity share. Hon'ble High Court of Karnataka passed order dated 8.01.2016 approving the scheme.

d. Further, it was stated in the said email dated 10.10.2018 which is received from the counsel that CP No. 81/2017 filed U/s. 241 of the Companies Act, 2013 alleging oppression and mismanagement was dismissed by the Hon'ble NCLT (B) vide order on 8th October, 2018.

9. The learned counsel for the Petitioner Companies has filed affidavits dated 23rd November, 2018 stating that the since the date of publication of the notices in the newspapers i.e. February 19, 2018, till the date of the present affidavit, neither the Petitioner Companies, nor has the counsel received any objections to the Proposed Scheme of Arrangement from any person at the office of the counsel from the Income Tax Department.

10. The learned counsel for the Petitioner Companies has filed a memo of written submissions dated 30th November, 2018 reiterating averments made in the instant petitions, aforementioned affidavits inter alia stating that:

a. Demerged Company has no employees on its roll relating to the Demerged Undertaking and hence no clause was incorporated in the Scheme for protection

of employees' interest of Demerged Company being transferred under the Scheme.

b. This is a scheme of demerger and provisions of Accounting Standard 14 being applicable only for a scheme of amalgamation, the petitioner companies undertake to follow the generally accepted accounting principles for a demerger in compliance with Section 133 of the Companies Act.

c. The Demerged Company has filed its annual returns and annual report for the financial year 2016-17 on June 13, 2018.

d. The Tribunal by order dated 8th October, 2018 dismissed CP No. 81/17 wherein proceedings were initiated by shareholders against the Demerged Company under Section 241 of Companies Act, 2013.

e. It is submitted that Mr. Nagappa and 2 others have ceased to be shareholders of the Demerged Company and pursuant to the order of the Hon'ble High Court of Karnataka in C.P. No. 253/2015 dated January 08, 2016. The proceedings under this petition are independent of the petition filed by Mr. Nagappa and should not be linked with this petition. Without prejudice to the Petitioner's rights, Mr. Nagappa could not be affected as they could not object to the scheme with shareholding being less than 10%, are not entitled to file any objection in terms of Section 230(4) of the Act.

11. After hearing the Counsel for the Petitioner Companies, perusing the affidavits and report of the Regional Director and Registrar of Companies and considering the materials on record, the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved.

THIS TRIBUNAL DO ORDER

(1) While approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any

permission/compliance with any other requirement which may be specially required under any law; and

(2) The Whole of the property, rights and powers of the 'Basavanagudi Project' of the Petitioner No. 1/Demerged Company ("Demerged Undertaking No. 1") be transferred without further act or deed to Petitioner No. 2/Resulting Company No. 1 and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Petitioner No. 2/Resulting Company No. 1 for all the state and interest of the Petitioner No. 1/Demerged Company therein but subject nevertheless to all charges now affecting the same; and

(3) The Whole of the property, rights and powers of the 'Koramangala Project' of the Petitioner No. 1/Demerged Company ("Demerged Undertaking No. 2") be transferred without further act or deed to Petitioner No. 3/Resulting Company No. 2 and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Petitioner No. 3/Resulting Company No. 2 for all the state and interest of the Petitioner No. 1/Demerged Company therein but subject nevertheless to all charges now affecting the same; and

(4) All liabilities including taxes and charges, if any and duties of the 'Basavanagudi Project' of the Petitioner No. 1/Demerged Company ("Demerged Undertaking No. 1") be transferred without further act or deed to Petitioner No. 2/Resulting Company No. 1 and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Petitioner No. 2/Resulting Company No. 1; and

(5) All liabilities including taxes and charges, if any and duties of the 'Koramangala Project' of the Petitioner No. 1/Demerged Company ("Demerged Undertaking No. 2") be transferred without further act or deed to Petitioner No. 3/Resulting Company No. 2 and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Petitioner No. 3/Resulting Company No. 2; and

(6) All proceedings now pending by or against the 'Basavanagudi Project' of the Petitioner No. 1/Demerged Company ("Demerged Undertaking No. 1"), if any, be continued by or against the Petitioner No. 2/Resulting Company No. 1; and

(7) All proceedings now pending by or against the 'Koramangala Project' of the Petitioner No. 1/Demerged Company ("Demerged Undertaking No. 2"), if any, be continued by or against the Petitioner No. 3/Resulting Company No. 2; and

(8) All employees of the 'Basavanagudi Project' of the Petitioner No. 1/Demerged Company ("Demerged Undertaking No. 1"), if any, will become employees of the Petitioner No. 2/Resulting Company No. 1without any break or interruption of service; and

(9) All employees of the 'Koramangala Project' of the Petitioner No. 1/Demerged Company ("Demerged Undertaking No. 2"), if any, will become employees of the Petitioner No. 3/Resulting Company No. 2without any break or interruption of service; and

(10) This order does not in any way give exemption under Income Tax Act, 1961. The Income Tax Authorities are to decide the issue considering the extant provisions of law as they deem fit and proper. The tax implications, if any arising out of the scheme is subject to final decision of concerned Tax Authorities and the decision of the respective Tax Authority shall be binding; and

(11) The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Arrangement to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements And Amalgamations) Rules, 2016; and

(12) The Petitioner Companies to ensure that the stamp duty as fixed by the Inspector General of Registration and Commissioner of Stamps is paid within stipulated time under relevant provisions of law; and

(13) The Appointed Date of the Scheme shall be 1st April, 2018; and

(14) As the petitions involve a scheme of Arrangement, wherein the Basavanagudi Project' of the Petitioner No. 1/Demerged Company ("Demerged Undertaking No. 1") is proposed to be transferred and vested into the Petitioner No. 2/Resulting Company No. 1 and 'Koramangala Project' of the Petitioner No. 1/Demerged Company ("Demerged Undertaking No. 2") is proposed to be transferred and vested into the Petitioner No. 3/Resulting Company No. 2, the accounting treatment and relevant accounting standards should comply with Section 133, Companies Act, 2013. The Petitioner Companies are directed to submit an auditor's compliance report pursuant to the implementation of the scheme evidencing that the Petitioner Companies have complied with applicable accounting treatment and accounting standards as required under law; and

(15) The Petitioner Companies and their authorised representatives are directed to comply with the following, prior to the implementation of the Scheme:

(i) Ensure that the Resulting Company No. 1 and Resulting Company No. 2 have sufficient authorised share capital for issue of new equity shares to the shareholders of Demerged Company. The Petitioner Companies shall pay the necessary stamp duty and applicable fee for the increase in authorised share capital as required under law.

(ii) Ensure that the Demerged Company files Annual returns and Balance Sheets for the financial years 2016-17 and 2017-2018 and any outstanding statutory filings under the Companies Act, 2013 and allied rules; and

(16) The Registrar of Companies, Karnataka shall ensure the compliance of affidavits of Petitioner Companies dated 2nd August, 2018 prior to the implementation of the Scheme; and

(17) The Petitioner Companies shall until the completion of the Scheme, file a statement as prescribed by the Registrar of Companies every year duly certified by a chartered

accountant or a cost accountant or a company secretary in practice indicating whether the scheme has been complied with in accordance with this order for the purpose of Section 232(7) of Companies Act, 2013 and Rule 21 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016; and

(18) The 'Basavanagudi Project' of the Petitioner No. 1/Demerged Company ("Demerged Undertaking No. 1"), or their authorised signatories are directed that after the completion of the process of arrangement to handover the possession of the books of accounts and other relevant documents to Petitioner No. 2/Resulting Company No. 1 for the purpose of Section 239 the Companies Act, 2013; and

(19) The 'Koramangala Project' of the Petitioner No. 1/Demerged Company ("Demerged Undertaking No. 2"), or their authorised signatories are directed that after the completion of the process of arrangement to handover the possession of the books of accounts and other relevant documents to Petitioner No. 3/Resulting Company No. 2 for the purpose of Section 239 the Companies Act, 2013; and

(20) Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

ASHOK KUMAR MISHRA
(MEMBER, TECHNICAL)

RAJESWARA RAO VITTANALA
(MEMBER, JUDICIAL)

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